AUSTRALIAN COMPETITION & CONSUMER COMMISSION

MicroStar Logistics – Konvoy

MN-30003

Decision

Acquisition is to be subject to Phase 2 review

1 April 2026

1. Decision

1.1. On 6 February 2026, Kegstar Pty Limited, a wholly owned subsidiary of MicroStar Logistics, LLC (**MicroStar**), lodged a notification with the Australian Competition and Consumer Commission (**ACCC**) in respect of Kegstar Pty Limited's (**Kegstar**) proposed acquisition of certain Australian assets of Konvoy Holdings Pty Limited (Receivers and Managers Appointed) (Subject to Deed of Company Arrangement) (**Konvoy**) (the **Acquisition**). The effective notification date for this notification is 20 February 2026.

1.2. The ACCC has decided under section 51ABZJ(1) of the *Competition and Consumer Act 2010* (Cth) that the Acquisition is to be subject to Phase 2 review (**Phase 2 Notice**).

1.3. The ACCC is satisfied that the Acquisition, if put into effect, could, in all the circumstances, have the effect, or be likely to have the effect, of substantially lessening competition in a market.

1.4. If the notifying party continues with the Phase 2 review, it must pay the applicable Phase 2 fee by 14 April 2026. If the fee is not paid by the due date, the ACCC is taken to have decided to cease considering the notification.

2. Parties to the Acquisition

The acquirer – MicroStar

2.1. MicroStar is a limited liability company incorporated in the United States and is indirectly wholly owned by MStar Holding Corporation. MicroStar started supplying keg pooling services in Australia in 2021 after it acquired Kegstar from Brambles Limited.

2.2. In Australia, MicroStar operates under the name Kegstar and primarily offers keg pooling services. It also offers longer-term keg leasing.

The target – Konvoy

2.3. Konvoy operates a keg services business in Australia and New Zealand. It offers keg pooling services, longer-term keg leasing, and keg maintenance and repair services.

2.4. Konvoy is in voluntary administration and receivership. On 11 March 2025, FTI Consulting was appointed as the administrators and McGrathNicol was appointed as the receivers of Konvoy. McGrathNicol undertook a sales process of Konvoy's assets in 2025, selecting MicroStar as the buyer.

Overlap between the parties

2.5. MicroStar and Konvoy (together, the Parties) both primarily offer keg pooling services to brewery customers in Australia, and, to a much lesser extent, longer-term keg leasing.

Industry Background

2.6. Keg pooling is a service in which a provider owns a pool of kegs and delivers empty kegs, (using either its own vehicles or third-party logistics providers) to customers (which are primarily brewers). The kegs utilised by keg pooling service providers are generally made from stainless steel, with a capacity of 50L, are reuseable and can be stacked for easy storage.

2.7. Customers clean and fill these kegs with alcoholic beverages and generally use their own choice of logistics provider to have the filled kegs delivered to licensed venues (known as forward logistics).

2.8. Once the keg(s) have been emptied at the venue, the keg pooling service provider then organises the pick-up of empty kegs (known as reverse logistics). These kegs may be stored at a warehouse if required or otherwise delivered directly to customers for the cycle to repeat. Customers pay for this service based on the number of times they fill these kegs.

3. Basis for Phase 2 Notice

3.1. During Phase 1, the ACCC may decide that a notification of an acquisition is to be subject to Phase 2 review if it is satisfied that the acquisition, if put into effect, could, in all the circumstances, have the effect, or be likely to have the effect, of substantially lessening competition in any market.

3.2. The basis for the ACCC's Phase 2 Notice is explained below, including the nature of the theories of harm that form the basis for the ACCC's satisfaction and the matters the ACCC intends to investigate before making a determination.

3.3. The ACCC has taken into account the material received or available to it during its Phase 1 assessment. Material received includes information provided by the Parties in the notification and in response to information requests, and submissions from third parties including brewery customers, industry bodies, and potential alternate purchasers for the assets. The ACCC has also conducted inquiries with third party market participants.

3.4. The ACCC previously assessed MicroStar's Acquisition of Konvoy under the former informal regime in 2025. As a result, the ACCC has also taken into consideration relevant material provided to it under that previous process, as well as publicly available information.

3.5. The ACCC invites submissions from interested parties on the matters that the ACCC intends to investigate further as outlined in the boxes below and any other relevant matters. Submissions should be provided by 17 April 2026 via email to mergers@accc.gov.au with the title *Submission re: MicroStar Logistics - Konvoy*.

Relevant areas of competition

3.6. The ACCC considers the relevant area of competitive overlap for the purposes of its assessment is the supply of keg pooling services in Australia.

3.7. While the Parties also both offer longer-term keg leasing, it comprises a small component of the total keg services supplied by the Parties. The ACCC understands that keg leasing is primarily used by customers as an alternative to keg ownership. As such, the demand for longer-term keg leasing is considered as part of a customer's countervailing power further below.

Product market

3.8. The ACCC considers that the Parties are each other's closest competitor. The Parties are the only two suppliers of keg pooling services in Australia. Customers of keg pooling services are kegged alcoholic beverage producers (e.g. brewers) seeking to have their beverages served on tap in licensed venues.

3.9. The ACCC considers that for many customers (such as independent brewers), keg leasing and keg ownership are not a close substitute for keg pooling services, including because:

- customers who own or lease kegs are required to arrange the return logistics of their kegs, which requires additional investment and administrative burden;
- keg ownership and leasing models place additional risk on the customer, including direct exposure to the risk of lost or unrecovered kegs; and
- keg ownership requires a significant upfront capital outlay to procure a keg fleet.

3.10. The ACCC understands that many customers that lease or own kegs will use them at their own licensed venues (or venues that are geographically close to their production facilities), while using keg pooling to serve venues that are further away.

3.11. On the basis of the information currently before it, the ACCC considers it unlikely that customers would switch to alternative forms of packaging for alcoholic beverages (such as plastic kegs, or cans/bottles) in response to a small but significant non-transitory increase in the price of keg pooling services. This is because:

- plastic kegs are mostly single use, and are used by some customers specifically for export;
- excise tax rates on packaged alcoholic beverages (e.g. in cans and bottles) are significantly higher than kegged alcoholic beverages; and
- customers are unlikely to be able to divert material volumes away from kegged alcoholic beverages sold in licensed venues to packaged alcoholic beverages.

Matters the ACCC intends to investigate in Phase 2

- The extent to which customers can switch between keg pooling services and keg leasing or ownership.
- The extent to which customers can use alternative forms of packaging such as plastic kegs, cans and bottles as a substitute to keg pooling services.

Competition effects in the supply of keg pooling services

3.12. The ACCC is satisfied that the Acquisition could have the effect, or likely effect, of substantially lessening competition in the supply of keg pooling services in Australia by removing Konvoy as an effective competitor to MicroStar.

3.13. Information before the ACCC indicates that if the Acquisition were to proceed:

- MicroStar would not face significant competitive constraint because its closest competitor would be removed from the market;
- Customer countervailing power, for example, self-supplying through keg leasing or ownership, would be unlikely to sufficiently constrain MicroStar. This is because for a substantial portion of keg pooling customers, the option of bypassing the merged entity for a significant volume of their demand is not a credible threat; and
- There appears to be a low likelihood of timely new entry or expansion at sufficient scale to replace the loss of constraint due to the Acquisition.

3.14. The ACCC is considering the state of competition in the future with the Acquisition against the future without the Acquisition, in which the assets of Konvoy are acquired by one or more purchasers who continue to provide keg pooling services in Australia or otherwise utilise the assets in such a way as to competitively constrain MicroStar.

3.15. The ACCC considers that, post-Acquisition, MicroStar could increase prices above a competitive level and reduce services or quality of service for customers, relative to the future without the Acquisition.

3.16. The ACCC is continuing to assess the impact of economies of density and economies of scale on:

- whether customers are able to exercise countervailing power through self-supply;
- whether there is a real commercial likelihood of any potential new entry; and
- the extent to which Konvoy's assets could be used to competitively constrain MicroStar in Australia.

Matters the ACCC intends to investigate in Phase 2

- The likely future ownership and utilisation of Konvoy's assets in circumstances where the Acquisition does not proceed, including whether the assets would be sold to one or more alternative purchaser(s).
- Whether there are economies of density available to customers and suppliers of keg pooling services and the impact of these economies.
- The extent to which customer countervailing power would provide a competitive constraint on MicroStar after the Acquisition.
- The likelihood of timely new entry if the Acquisition proceeds.

Decision made by a division of the Commission constituted by a direction issued pursuant to section 19 of the *Competition and Consumer Act 2010* (Cth)